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BUSINESS COMPANIES COMMERCIAL REAL ESTATE

Investors tapping into lifestyle and community park assets

By Carolyn Cummins
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Lifestyle communities and retirement village asset portfolios, worth a combined $134 million, are being offered to investors who want higher-yielding bricks and mortar properties in what is seen as an expanding sector.

Hometown Australia Communities is selling about $110 million in eastern seaboard properties, comprising sites in regional tourism/retirement destinations including the Tweed Coast in NSW, the NSW mid-north coast and Lakes Entrance in Victoria.

Hometown Australia Communities is now the country's largest owner/operator of residential land lease communities (RLLCs) after its October 2018 acquisition of the previously publicly-listed Gateway Lifestyle Group.

Hometown Australia Communities' Casino holiday park in NSW.

Hometown Australia Communities is a subsidiary of Chicago-headquartered Hometown America Communities, and currently owns and operates around 60 communities in Australia valued in excess of $1 billion.

Gateway assets that were identified as non-core for Hometown are included in the sales campaign, which is being steered by CBRE Hotels Sydney director Andrew Jackson.

Mr Jackson said he anticipated strong buyer interest from a diverse audience, with one of the former Gateway assets greenfield site at Yarrawonga in Victoria having already sold ahead of the portfolio campaign for a 30 per cent premium to the Gateway acquisition price.

He said with the cross-over between the permanent RLLC sector and the traditional tourist/caravan park market, "many of the assets will be of equal interest to players from each of these sectors".

The sales follow the acquisition by Ingenia Communities of three lifestyle communities – adding 540 income-generating sites and 60 development sites across Brisbane, the Sunshine Coast and the NSW central and north coast – for $102.7 million.

Ingenia chief executive Simon Owen said the group intends to build "clusters of assets" in metro and coastal areas that can be developed to add value.

In the retirement sector, Joseph Hansell, Ian Francis and John Park of FTI Consulting have been appointed receivers and managers over entities trading as Settlers Lifestyle, a retirement accommodation and village provider with operations throughout Australia.

They have been appointed to sell the business and operations of the Settlers Group, which includes operations at five separate villages, with a total of 687 separate units accommodating more than 1000 residents.

Jones Lang LaSalle has been appointed sole sales agent, with the portfolio worth about $24 million.

The sale of the portfolio is being offered in one line, but the receivers and managers will consider all offers in relation to the individual villages. Depending on the offers received, this may result in breaking up the portfolio through a sale to more than one purchaser.

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Carolyn Cummins is Commercial Property Editor for The Sydney Morning Herald.